

Enhancing Australia's Aged Care Workforce: Reviewing and Improving Migration Pathways

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Problem Identification:

Australia faces critical shortages in its aged care workforce. By 2050, Australia's aged care sector will require approximately [980,000 workers](#), up from [366,000 in 2016](#). This represents a significant challenge for ensuring the sector can meet increasing demands from an ageing population.

Demand for aged care workers far outstrips supply: with projections estimating a shortfall of [110,000 direct care workers by 2030](#) if no action is taken. These workforce gaps are already impacting care delivery. Media reports indicate at [least 18 residential aged care homes closed or scheduled to close in 2023](#), with over half directly attributing the closure to staff shortages.

This means that without significant intervention, the aged care system will become increasingly unable to meet the demand for quality care, risking the wellbeing of Australia's elderly population.

Context:

Multiple factors contribute to the aged care workforce challenge, including difficulties with recruitment and retention. Aged care jobs have historically been low-paid and demanding, leading to high turnovers. Nearly [40% of aged care workers](#) are dissatisfied with their pay levels, and even a recent [15% award wage increase](#) (implemented in July 2023) has not closed the gap. Aged care wages still remain well below those in comparable sectors, such as disability or healthcare. Limited career pathways, strenuous workloads, and competition from other employers (e.g. hospitals and NDIS providers) make it tough for aged care providers to attract new staff or keep experienced workers. These issues are compounded by Australia's ageing demographics which are driving up demand for care services.

Furthermore, Australia heavily relies on migrant workers, with over [51% of residential aged care employees](#) were born overseas (as of 2021). This highlights the sector's dependence on immigration. To address workforce shortages, the Australian Government has introduced targeted migration initiatives for aged care.

Notably, in 2023 it launched a dedicated [Aged Care Industry Labour Agreement](#), enabling aged care providers to sponsor overseas direct care workers (such as nursing support workers, personal care assistants and aged care carers) on skilled visas. In parallel, an aged care stream has been added to the [Pacific Australia Labour Mobility \(PALM\)](#) scheme. Under the PALM scheme's Aged Care Expansion program, up to [500 workers](#) from Pacific Island countries and Timor-Leste will train for a Certificate III in Individual Support (Ageing) and work in Australian aged care facilities.

This kind of rights-based safeguard helps set a high standard for ethical recruitment. However, without strict oversight, migration programs face challenges. Additionally, [recent research](#) on PALM workers in New South Wales identified significant labour issues, including excessively long working hours, absence of sick leave provisions, and instances of intimidation and threats of deportation by employers, underscoring the critical need for enhanced protections and regulatory oversight.

Solution Identification:

Review and improve the Aged Care Industry Labour Agreement and the aged care stream of the Pacific Australia Labour Mobility (PALM) scheme, following the recommendations outlined by the Lowy Institute in their 2024 analysis.

This could ensure stronger protections for migrant workers in the aged care sector, address industry misconceptions, and establish clearer regulatory frameworks, ultimately improving workforce recruitment and retention.

Advice:

The Department of Health and Aged Care should urgently review and improve the Aged Care Industry Labour Agreement and the PALM scheme's aged care stream. This will ensure sustainable, rights-based migration solutions to address workforce shortages across Australia's aged care sector.

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